



corporating geopolitical considerations into our investment process. We have screened almost every investment through a geopolitical lens in the past five to 10 years. We also engage with external risk consultants to gain additional perspectives. As a result, every position in our portfolio is screened through a geopolitics lens. Moving forward, we expect this

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new-age digital businesses, and transformational changes like Generative Artificial Intelligence (Gen AI) and climate change. How do you plan to navigate them?

A: There is a lot to address, starting with geopolitics. Investors worldwide are now considering how to integrate geopolitical factors into their asset allocation and investment processes. Looking back over the past 15 years, the market has been relatively favourable for global investors, with low interest rates, low inflation, and benign geopolitical conditions. Today, however, we face higher and somewhat sticky inflation, elevated interest rates, and significant geopolitical considerations. As far as trade is concerned, while we are investors rather than multinational sellers, geopolitical factors remain crucial. The historical rules-based order is less applicable now than it was in the past. This raises questions about how investors should look at their asset allocation and portfolio construction to account for these risks. Having built a global footprint over the past 15 years, we have developed a distinctive capability in this area. We have an internal team dedicated to in-

approach to continue. Although being a global investor has become more labour-intensive and time-consuming, we are committed to maintaining our global investment strategy.

Q: Inflation has moderated in the US, Europe, and some other big markets since the peak of 2022 and 2023. But there hasn't been softening in interest rates. What do some of the big markets look like in terms of the macro outlook?

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A: Looking at global trends over the past few years, we are still dealing with the Covid-19 hangover, including the substantial policy responses that followed. We saw extraordinary monetary stimulus with interest rates being lowered significantly, as well as considerable fiscal support, with governments injecting money to sustain pre-Covid levels. Much of that money remains in bank accounts and corporate balance sheets. As a result, consumer demand remains strong, and many corporations that received support from fiscal budgets have substantial cash reserves now. Fiscal spending also continues to be significant in the US. This ongoing demand has strained the market's capacity to supply, contributing to persistent inflation.

When it comes to interest rates, I don't think you're going to see interest rates going back to where they were pre-Covid. The period before Covid-19 should not be seen as the norm, as it took over a decade for the economy to recover from the global financial crisis and reach the desired employment levels. The current situation is different, with the US operating close to full capacity and geopolitical risks heightening national security concerns. Companies are increasingly considering near-shoring and on-shoring to mitigate risks, which could be inflationary. You have a tremendous demand for capital as a result of the energy transition and the expansion required for data centres to support